

Efficiency wages

It is hard for an employer to constantly check up on all her employees and this gives ample opportunities for workers to shirk. Efficiency wage theory is based on the idea that an increase in wages can create incentives for workers not to shirk. As a result, it might be worth the firm paying more because of the increased productivity induced in its workers. The high wage will also increase the number of people seeking employment and so create a pool of unemployed people. The high wage together with the threat of unemployment if they are caught shirking, encourages workers to be diligent.

Another reason why a high wage might affect the efficiency of workers is that it allows them to eat well, a factor which may be especially important in developing countries. Efficiency wages may also account for the puzzle of why wage rates often don't fall during recessions – during a downturn, it may be more advantageous for firms to keep wages high and fire some workers, instead of cutting pay for all.

